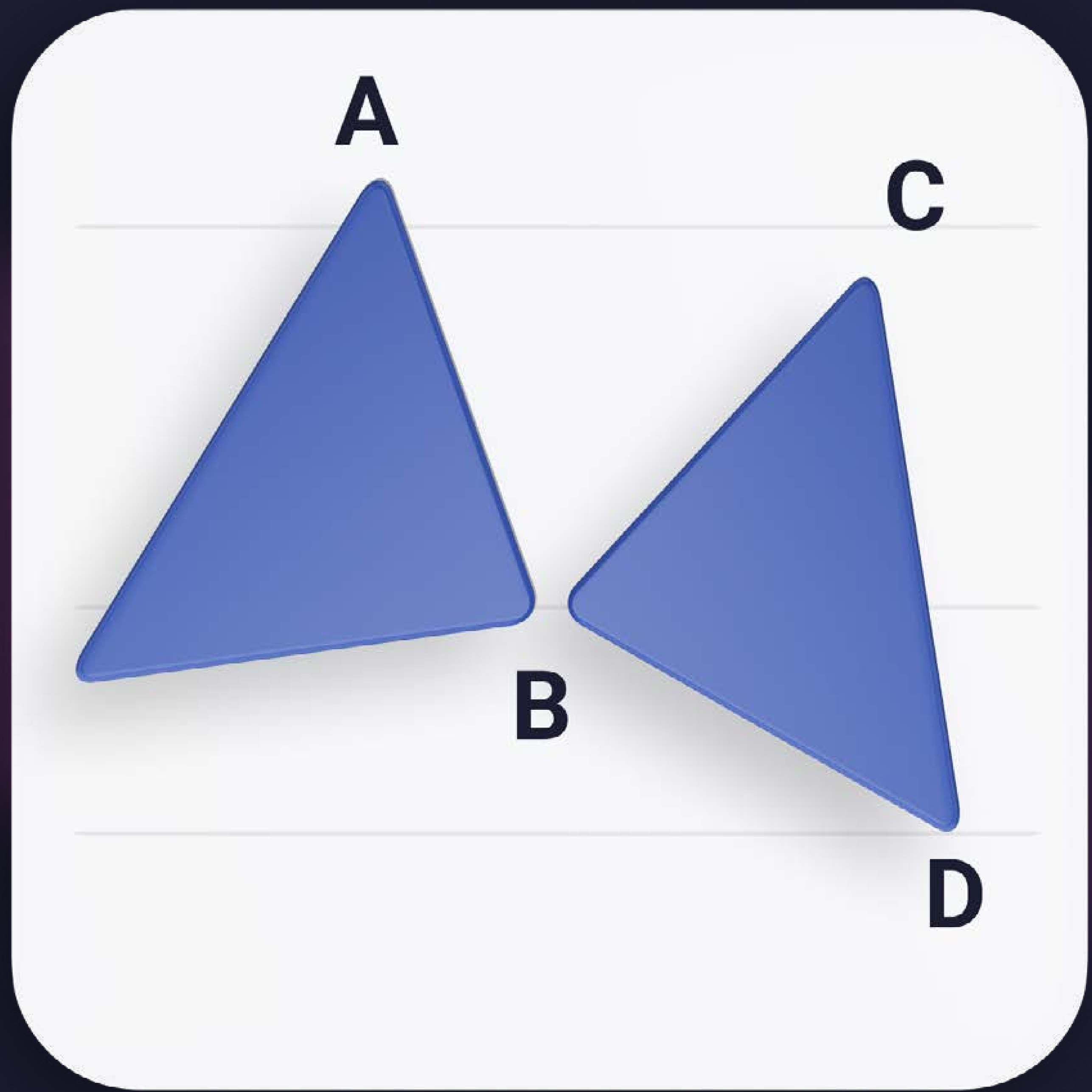
Harmonics

Cheat Sheet



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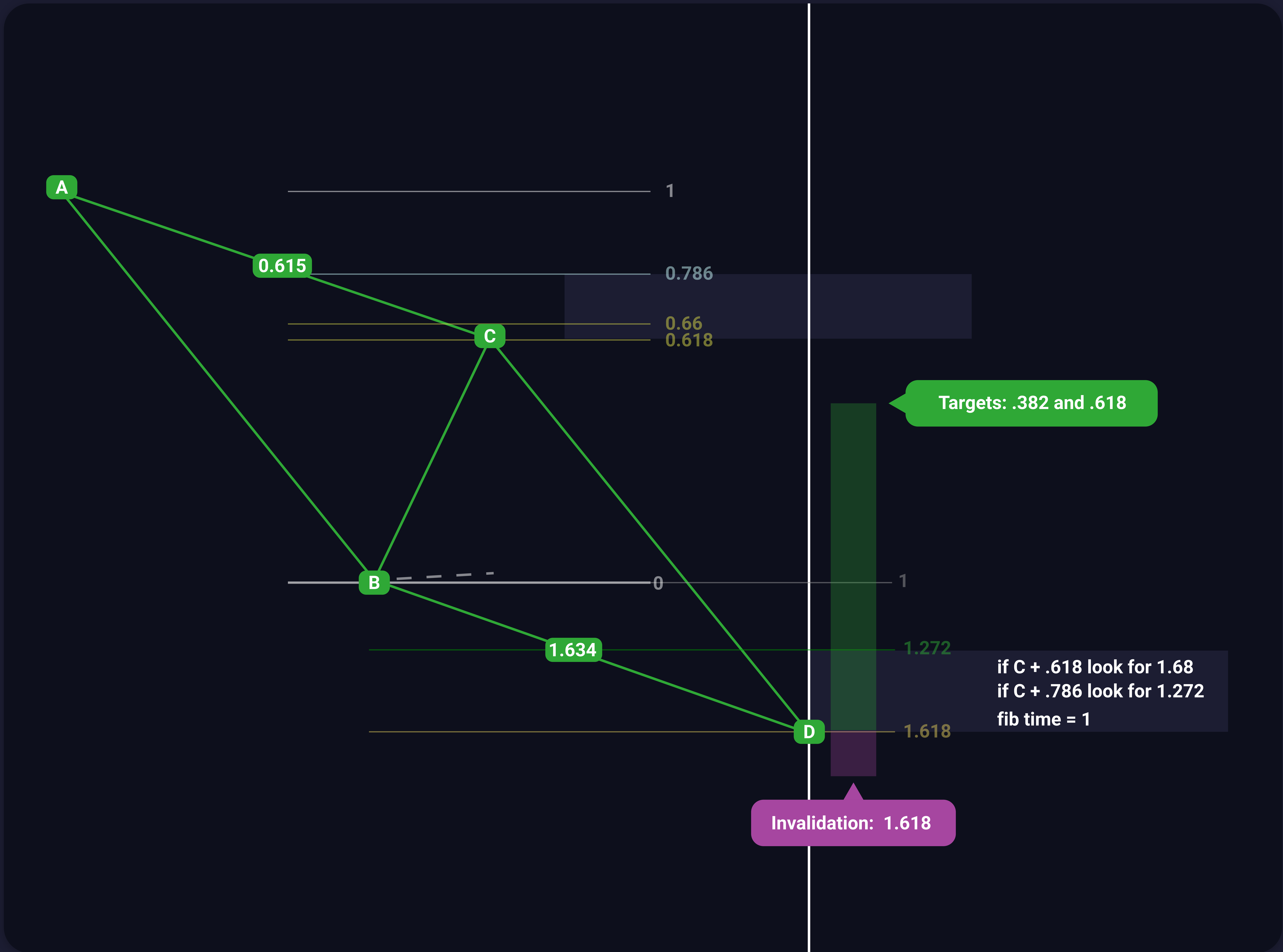
Classic ABCD Pattern



This is the simplest harmonic pattern. It is very basic and best to be traded when it is complete (at the point D). Also, SL should be based on MS not Fibs.

Explained in Contenders Harmonic Patterns part 1 stream on 8. 1. 2020 (15:20)

Classic ABCD Pattern Example

Here is a live trade example from NEO/USD a large ABCD pattern that traded perfectly. Followed by a smaller ABCD pattern that is forming perfectly so far.

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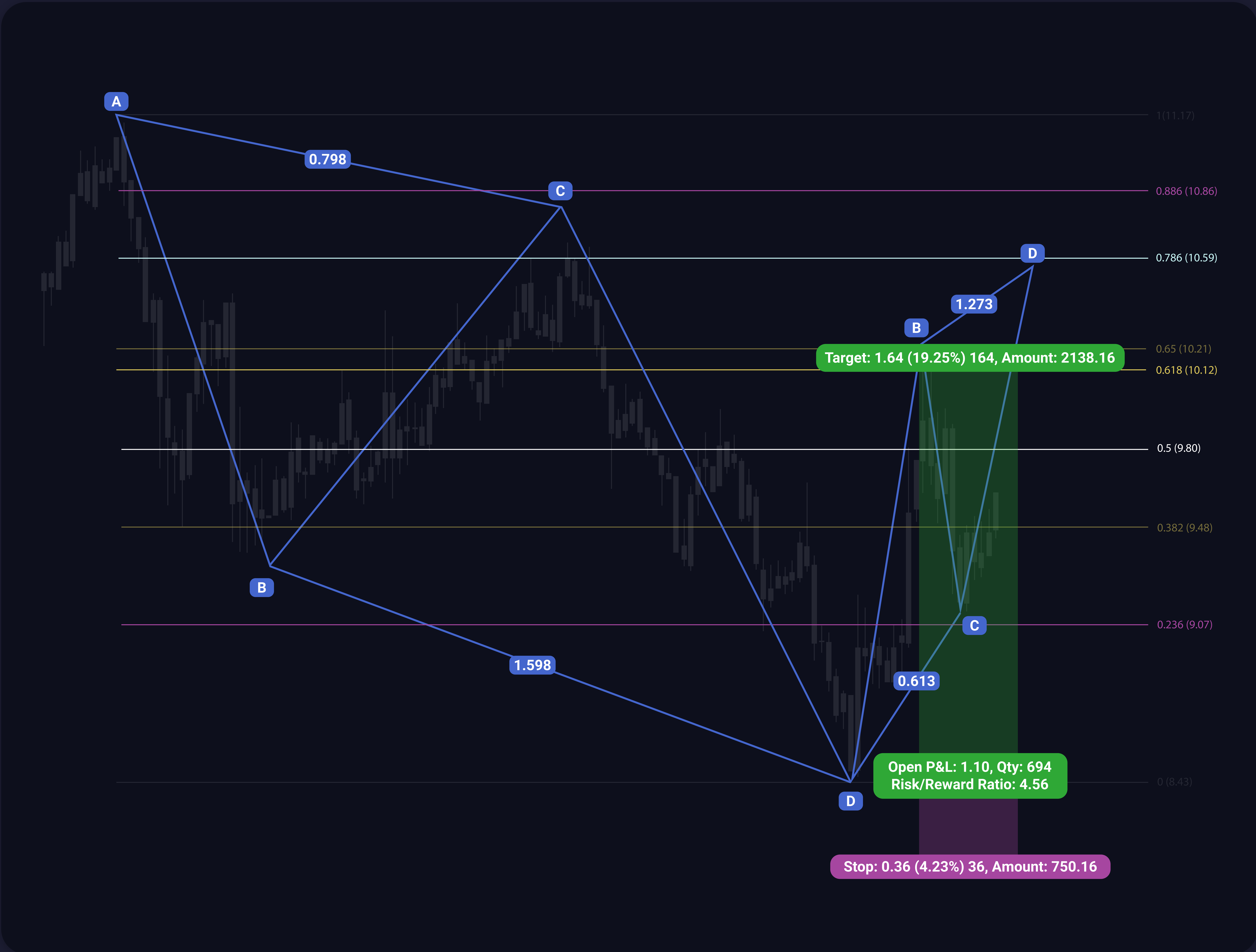
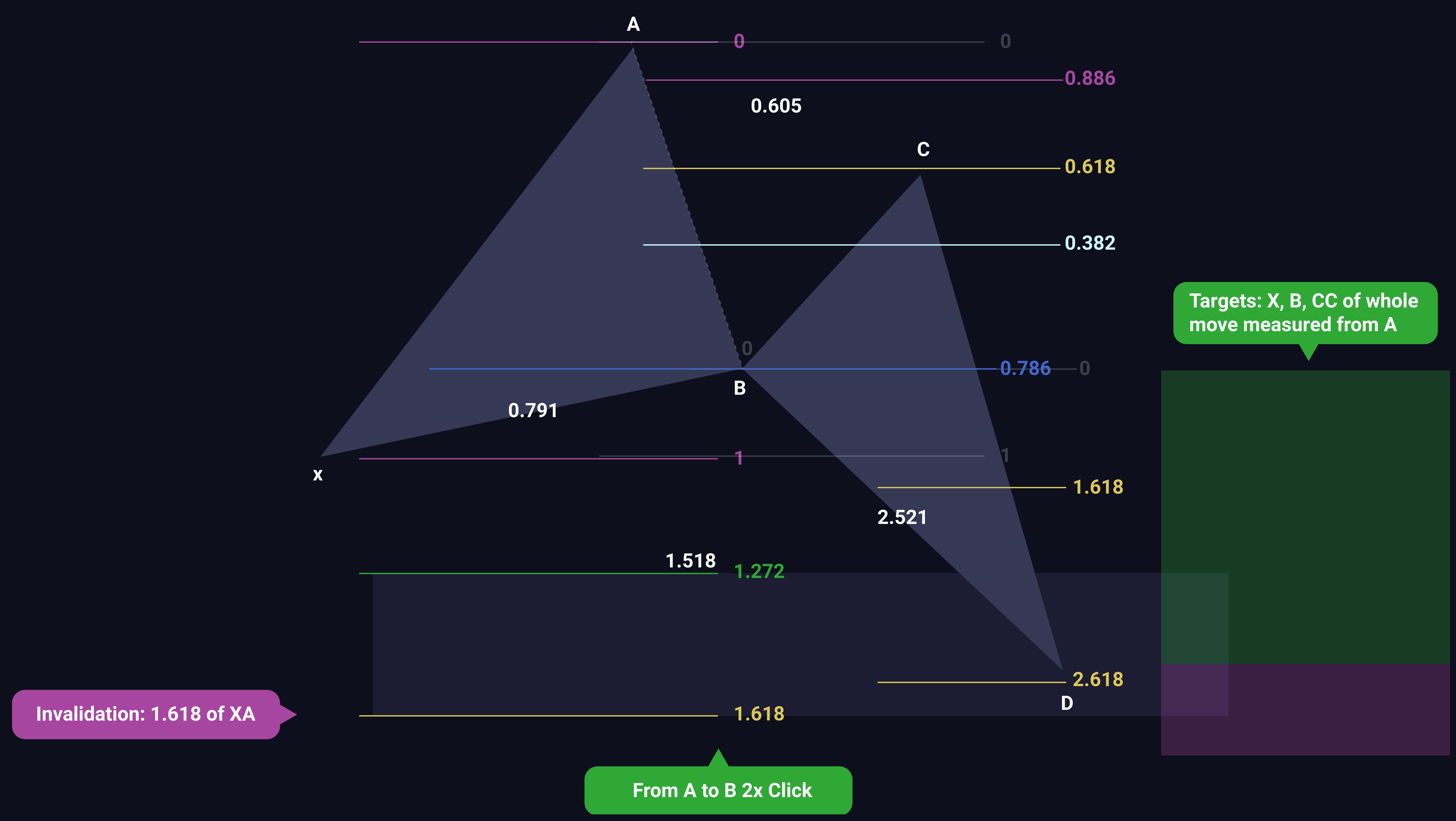


Butterfly Harmonic



XA: You want to see the impulse going up on declining volume

AB: Increasing Bear volume

BC: Declinina volume

CD: If volume keeps increasing, dont trade the d and stav in trade

B = .786
C = .618
(Can be between 382 and 886)

BC expansion = 1.618 - 2.618
XA expansion = 1.27 - 1.618

AB extension = 1

fib time = 1

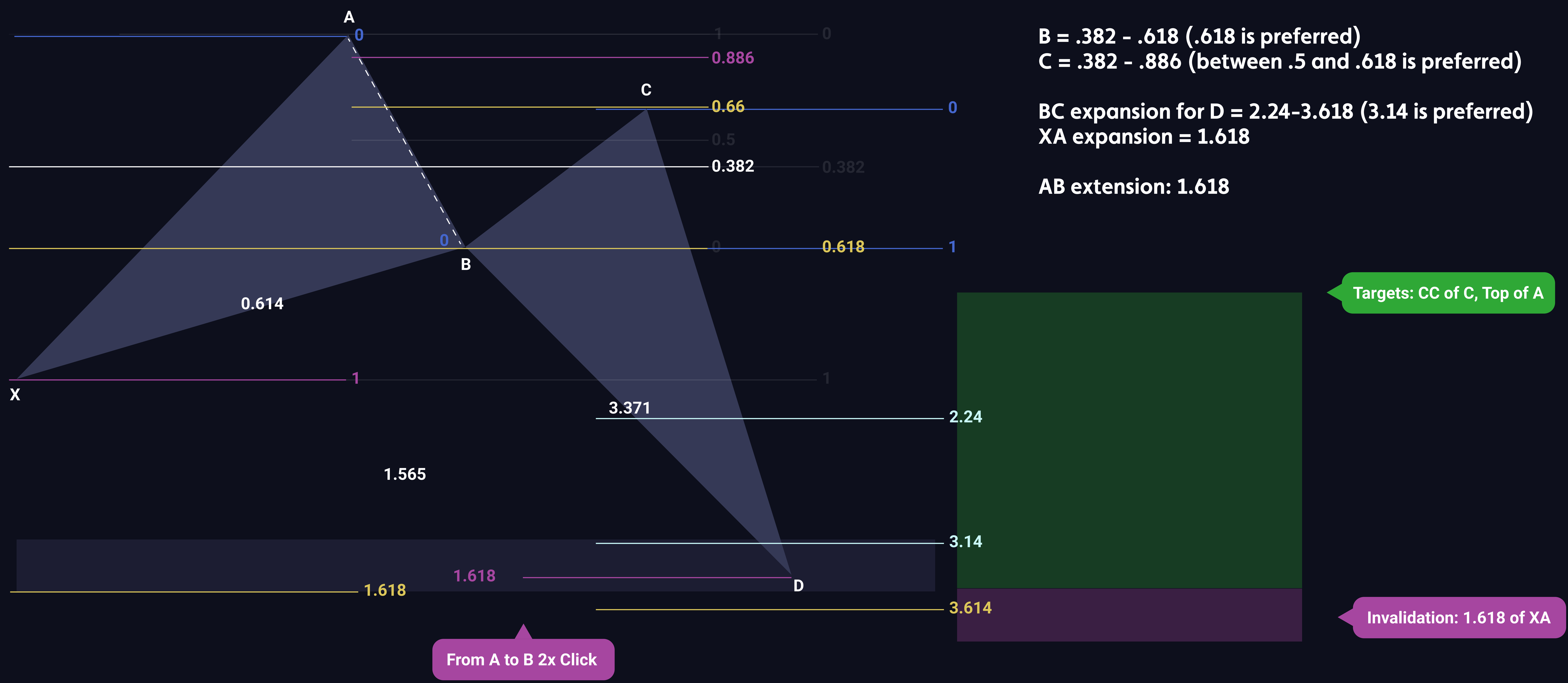
This is an external harmonic pattern. The retracement of XA has to be heavy, it has to reach .786. Volume plays a big role here.

Explained in Contenders Harmonic Patterns part 1 stream on 8. 1. 2020 (44:00)

Crab Harmonic

It is very similar to Butterfly pattern but the D leg goes deeper on this one. It is also an external pattern. The preferred retracement of XA is .618 and between .5 and .618 for the AB retracement.

Explained in Contenders Harmonic Patterns part 1 stream on 8. 1. 2020 (1:01:41)

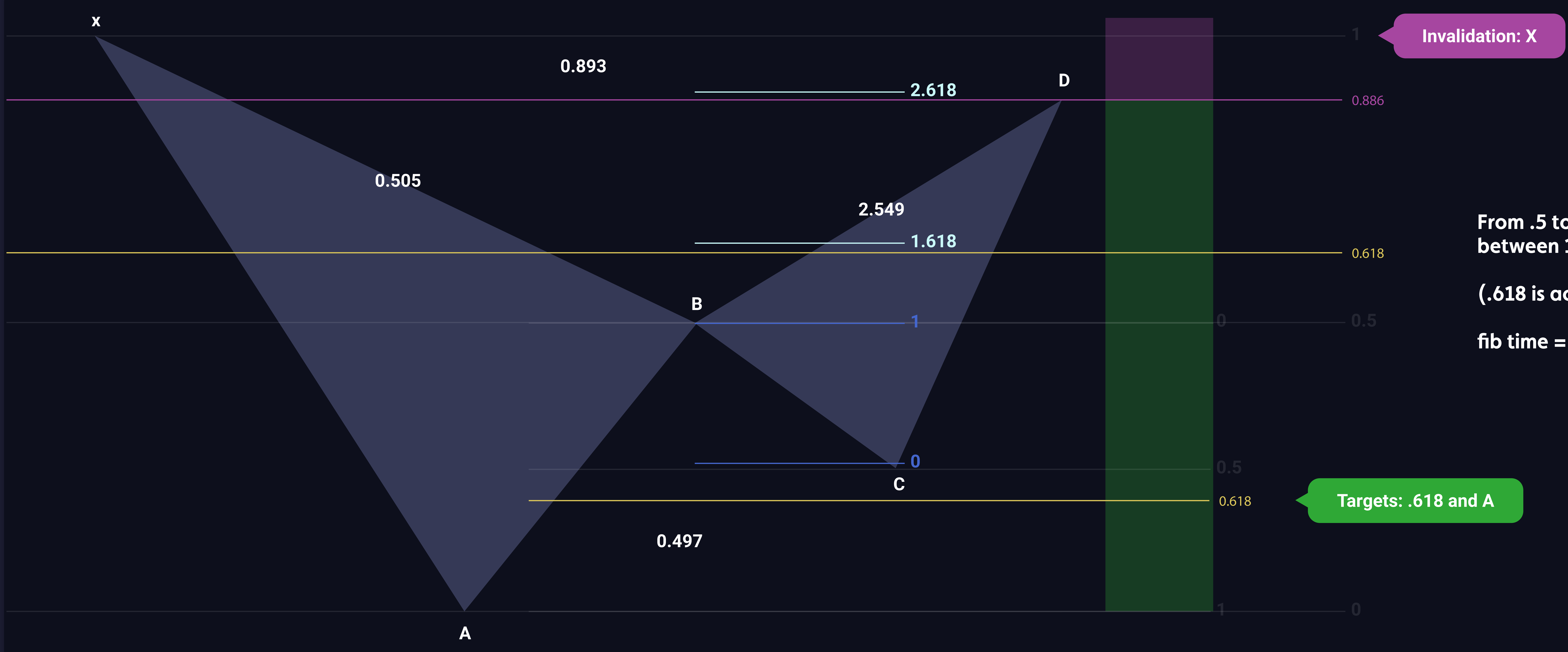


B = .382 - .618 (.618 is preferred)
C = .382 - .886 (between .5 and .618 is preferred)

BC expansion for D = 2.24-3.618 (3.14 is preferred)
XA expansion = 1.618

AB extension: 1.618

Bat Harmonic



From .5 to .5 to .886 with confluence between 1.618 and 2.618 taken from BC

(.618 is acceptable)

fib time = 1

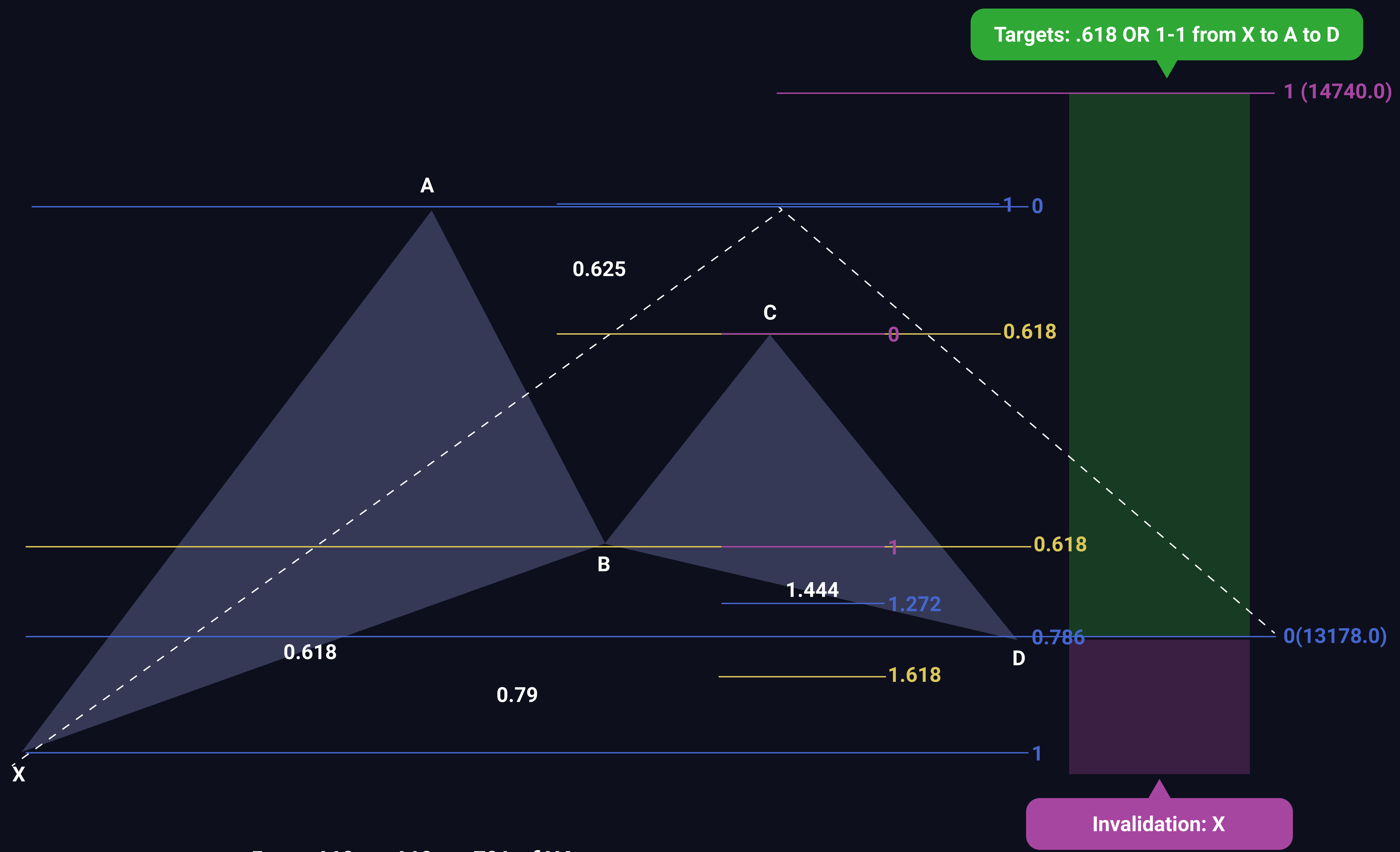
With this internal consolidation pattern, it is mandatory that point B retraces strictly between .382 and .5 of XA. A 'perfect' BAT retraces to .5 (XA and AB) and is even more likely to play out. It also depends on the market you are trading – stock markets are more likely to retrace to .5 while crypto markets tend to retrace to .618 more.

Explained in Contenders Harmonic Patterns part 1 stream on 8. 1. 2020 (24:03)

Gartley Harmonic

An internal consolidation harmonic pattern which is similar to BAT pattern. The big difference is that Gartley retraces to a 'perfect' .618 (XA and AB). They are very common, you literally see them every day.

Explained in Contenders Harmonic Patterns part 1 stream on 8. 1. 2020 (34:35)



From .618 to .618 to .786 of XA

D= Between 1.27 and 1.618 of BC expansion

(Can wick through but you want to see a close, .66 is acceptable)

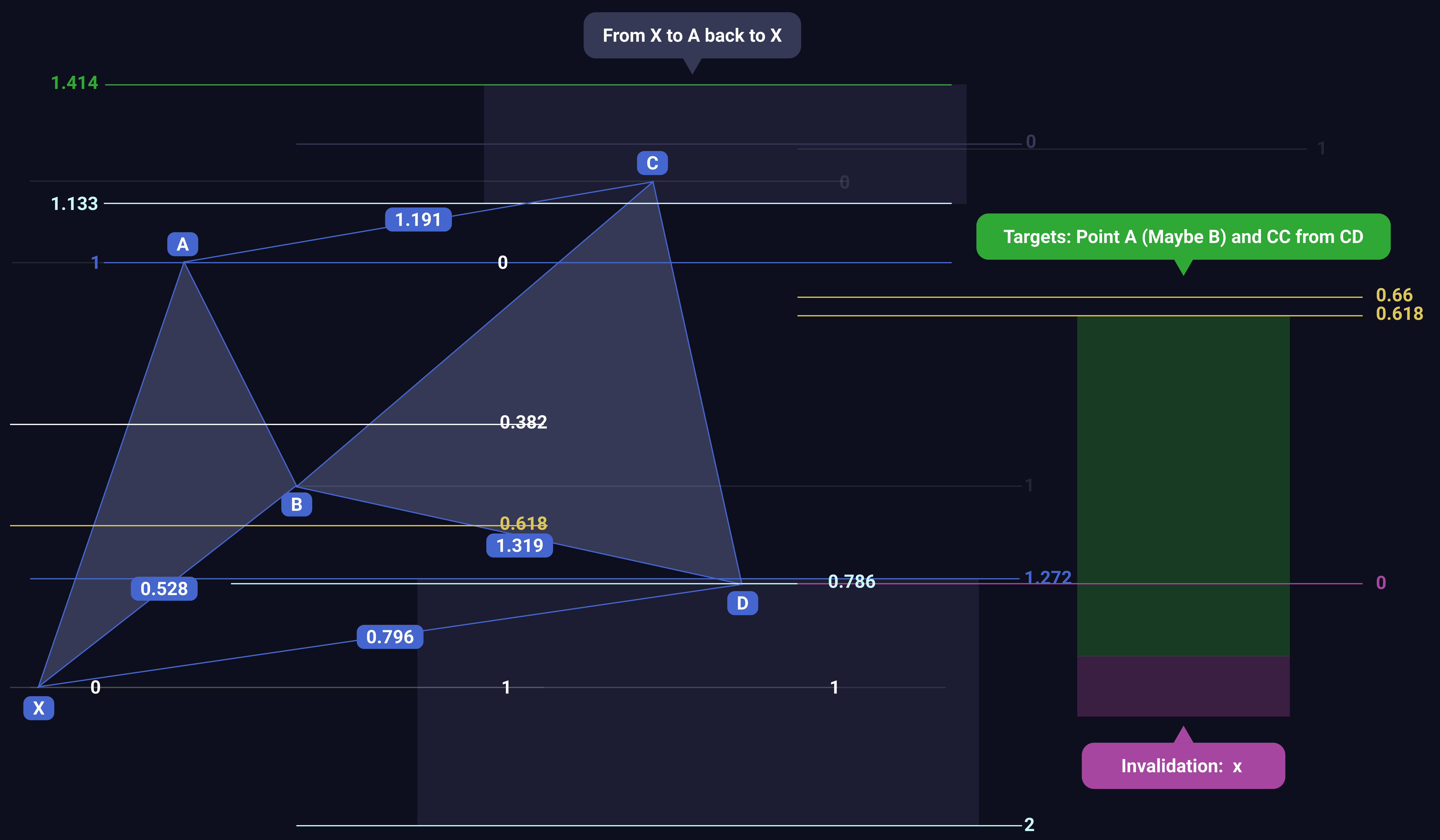
fib time = 1

Cypher Harmonic

B = retracement between .382 and .618
c = between 1.133 and 1.414 extension (see yellow bubble)

fib time = 1

D = .786 retracement of whole move XC (B cannot hit this)
D = 1.272 and 2 expansion of BC (extra confluence)



This is the only harmonic that uses Fib extension. It is unique and simple to use. What is unique is that to get C – taking the fib extension you click on X, A and X again.

Explained in Contenders Harmonic Patterns part 2 stream on 22. 1. 2020 (25:46)

Shark Harmonic

The shark harmonic implies a strong impulsive move up, especially if the C comes off a swing failure of the A.

You can trade the C up to the D, with D being a big target. If the D is invalidated, you are likely in a wave 3

B = Anywhere is valid, but .382 is common
C = 1.13 to 1.618 of AB expansion
(expecially nice if this happnes on a SFP)

BC expansion = 1.618 - 2.24
XA expansion = .886 - 1.13

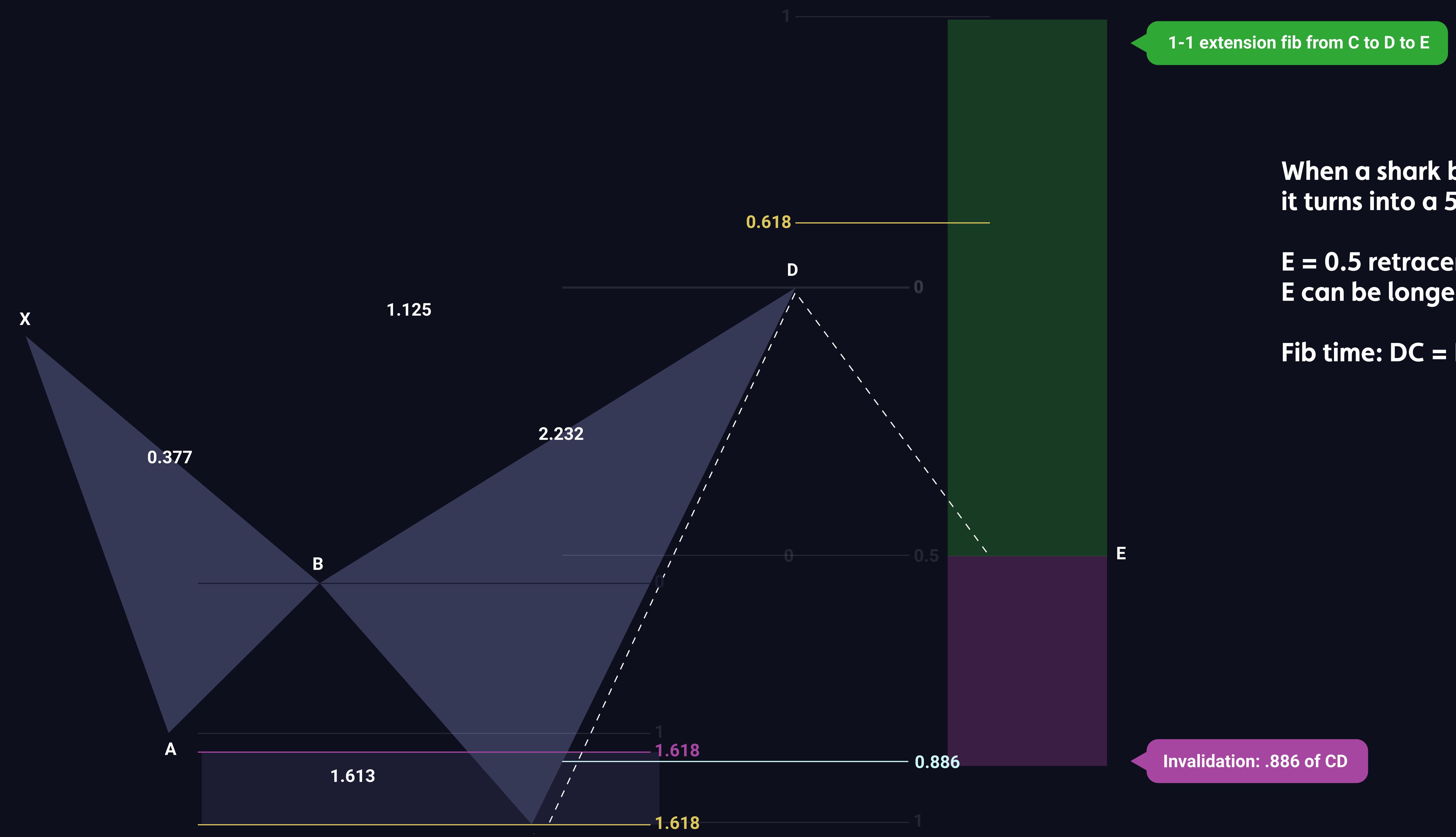
Shark is a very nice harmonic that can be seen on BTC a lot. One can incorporate C with the SFP. It is unique in a way that B can retrace anywhere between .236 and .886. Wave D is usually very impulsive.

Explained in Contenders Harmonic Patterns part 2 stream on 22. 1. 2020 (47:39)

5-0 (Next Step from the Shark) Harmonic

It continues from the Shark pattern, starting with shorting the D of it. The target is, as the name suggests, .5 fib and it should bounce right there to be valid.

Explained in Contenders Harmonic Patterns part 2 stream on 22. 1. 2020 (56:33)



When a shark bounces and reverses of the 0.5 fib taken from CD, it turns into a 5-0 pattern.

E = 0.5 retracement from CD
E can be longed or shorted (shark or 5-0)

Fib time: DC = DE projected from D